5. Promote Exports

- SSIs do not require sophisticated machinery. Hence, import the machines from abroad is not necessary. On the other hand, there is a great demand for goods produced by SSIs.Thus they reduce the pressure on the country's balance of payments. However, in the recent past large scale industries are able to borrow large funds with low interest rate and spend large sums on advertisements. Hence SSSs are gradually vanishing.
- SSIs earn valuable foreign exchange through exports from India.

6. Complement Large Scale Industries

- SSIs play a complementary role to large scale sector and support the large scale industries.
- SSIs provide parts, components, accessories to large scale industries and meet the requirements of large scale industries through setting up units near the large scale units.
- SSIs serve as ancillaries to large scale units.

7. Meet Consumer Demands

- SSIs produce wide range of products required by consumers in India.
- Hence, they serves as an anti-inflationary force by providing goods of daily use.

8. Develop Entrepreneurship

- SSIs help to develop a class of entrepreneurs in the society. They help the job seekers to become job givers.
- They promote self-employment and spirit of self-reliance in the society.
- SSIs help to increase the per capita income of India in various ways.
- They facilitate development of backward areas and weaker sections of the society.
- SSIs are adept in distributing national income in more efficient and equitable manner among the various participants of the society.

8.10 Micro, Small and MediumEnterprises (MSMEs)

As on now, the following monetary limits have been used for defining different kinds of industrial service units. However, these limits are subject to changes over time.

Manufacturing Enterprises

a. Micro Manufacturing Enterprises: The investment in plant and machinery does not exceed ₹25 lakhs.

b. Small Manufacturing Enterprises: The investment in plant and machinery is more than twenty five lakh rupees but does not exceed ₹5 crores.

c. Medium Manufacturing Enterprises: The investment in plant and machinery is more than ₹5 crores but not exceeding ₹10 crores.

Service Enterprises

a. Micro Service Enterprises: The investment in equipment does not exceed ₹10 lakhs.

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